NATIONAL COMPANY LAW TRIBUNAL

AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 9.11.2021 AT 10.30 PM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CA(A) Merger & Amalgamation/9/230/AMR/2021
NAME OF THE COMPANY	People Combine amenities Pvt Ltd (Transferor Company) People Combine Infrastructures Pvt Ltd (Transferee Company)
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(A) Merger & Amalgamation No.9/230/AMR/2021 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

IN THE NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH

CA (CAA) No. 9/230/AMR/2021

Petition under Sections 230 to 232 of the Companies Act, 2013

In the matter of

People Combine Amenities Private Limited
D.No.8-1-97/1/8, Level 4, Block-B,
Ninitaas High's, Pedawaltair,
Visakhapatnam,
Andhra Pradesh – 530017. ... Applicant/Transferor Company

People Combine Infrastructures Private Limited
D.No.8-1-97/1/8, Level 4, Block-B,
Ninitaas High's, Pedawaltair,
Visakhapatnam,
Andhra Pradesh – 530017. ... Applicant/Transferee Company

Date of Order: 09.11.2021

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

Mr. C.V.K. Reddy, PCS for the Applicant Companies.

ORDER

1. The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Companies inter alia seeks an order to dispense with convening the meeting of the Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Applicant Companies for consideration of the Scheme of Amalgamation ("Scheme" for short) between the Applicant Companies and

their respective shareholders and creditors as envisaged under the Scheme.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, they are within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

a) The Applicant/Transferor Company was incorporated as a Private Limited Company on 02.11.2007. The Authorised Share Capital as on 31.03.2021 was Rs.4,26,00,000/- divided into 42,60,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.4,25,01,530/- divided into 42,50,153 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of infrastructure, deal in infrastructure, develop land, property and construction related works etc.

b) The Applicant/Transferee Company was incorporated as a Private Limited Company on 18.01.2020. The Authorised Share Capital as on 31.03.2021 was Rs.4,50,00,000/- divided into 45,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.4,33,01,110/- divided into 43,30,111 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of construction and either alone or jointly to construct, build, alter, acquire, convert, improve, design, erect, establish, equip, develop, furnish, decorate, fabricate, install, finish, search, survey, examine, inspect, locate, modify,

own, operate, promote, provide, participate, undertake, contribute and assist, etc.

4. According to the Applicant Companies, the proposed Scheme of Amalgamation would enable streamlining the current organization structure and achieving an optimized legal entity structure more aligned with the business operations and achieving greater efficiency in resource management, cost savings resulting from rationalization, standardization and simplification of business processes and group structure. It would also enable pooling of physical, financial and human resource of the Applicant Companies for the most beneficial utilization of factors in the combined entity, since both the Companies are engaged in the similar business activities i.e. infrastructure development business.

5. It is further stated that the Board of Directors of the Applicant Companies in their respective Board Meetings held on 07.07.2021 have approved the Scheme of Amalgamation with appointed date as 01.04.2021, subject to the approval of their shareholders and creditors.

6. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

7. The Applicant/Transferor Company has filed certificate of the Auditor stating that as on 12.04.2021 there are Three (3) Equity Shareholders together holding 42,50,153 equity shares and they have given their consent in the form of affidavits agreeing to the proposed Scheme.

8. The Applicant/Transferor Company also has filed certificate of the Auditor stating that there are no Secured Creditors as on 31.07.2021.

9. The Applicant/Transferor Company has filed certificate of the Auditor stating that as on 31.07.2021 there is a sole Unsecured Creditor i.e. Mr. Nagamunesswara Rao Yarlagadda, having a debt of Rs.1,35,00,000/- and Eight (8) Trade Creditors/other Creditors and they have given their consent in the form of affidavits agreeing to the proposed Scheme.

10. The Applicant/Transferee Company has filed certificate of the Auditor stating that as on 12.04.2021 there are Two (2) Equity Shareholders together holding 43,30,111 equity shares and they have given their consent in the form of affidavits agreeing to the proposed Scheme.

11. The Applicant/Transferee Company also has filed certificate of the Auditor stating that there are no Secured and Unsecured Creditors as on 31.07.2021.

12. Heard the submissions made in this regard by Shri C.V.K. Reddy, Learned PCS appearing for the Applicant Companies and perused the documents filed.

13. It is noted that all the equity shareholders of both the Applicant Companies have given consent affidavits agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Equity Shareholders of both the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

14. It is also found that there are no Secured Creditors in both the Applicant Companies and there is no need to direct the Applicant Companies to hold meeting of the Secured Creditors.

15. It is noted that a sole Unsecured Creditor of the Transferor Company and all the Trade/other Creditors have given consent affidavit agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Unsecured Creditors of the Transferor Company can be dispensed with, in terms of Section 230(9) of the Act.

16. It is also found that there are no Unsecured Creditors in the Transferee Company and there is no need to direct the Transferee Company to hold meeting of the Unsecured creditors.

17. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the applicant company shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

18. In the event of the Applicant Companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the Scheme to put forth his/their contention(s) before the Tribunal. Hence ordered.

ORDER

The Company Application i.e. CA(CAA) No.9/230/AMR/2021 is allowed and disposed of accordingly.

JUSTICE TELAPROLU RAJANI
Member (Judicial)